GE Management Accounting Procedure
Manual Journal Entries

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Revision History

Revision Number	Revision Date	Effective Date	Approved By	Revision Notes
4.0	March 16, 2022	March 31, 2022	Technical Review Group – March 16, 2022	• Updating the immaterial amount to be consistent with Account rec MAP (already referenced MAP) • Defining minimum requirement for late MJEs and required information / support for MJE
3.0	Jan. 10, 2020	Jan. 1, 2020	Technical Review Group – Dec. 17, 2019	Added requirement to assess MJE risk/minimum approval threshold with annual SOx risk assessment
2.0	Sept. 20, 2018	Oct. 15, 2018	Technical Review Group – Sept. 14, 2018	• Added section 5.1 Proper Approvals • Modified approval requirements to set a single minimum threshold and approver. Clarified GBC role in design and enforcement • Eliminated redundant exceptions from materiality threshold
1.0	Aug. 21, 2017	Oct. 15, 2017	GE Vice President, Controller & Chief Accounting Officer and GE Operational Controller	• Original Issuance

1 BACKGROUND

Manual journal entries (MJE) are entries that require manual effort to calculate and/or enter or upload to the general ledger. MJEs present a potential risk to the financial statements as they create the ability for an individual to circumvent the existing control structure. Although MJEs increase risk, there is a realization that MJEs are periodically required and cannot be completely eliminated. Often, a need for MJEs indicates a process or system design issue and should also be evaluated for improvement. The policy defined below is provided to mitigate the risk of improper or incorrect manual journal entries, as well as provide guidance on simplification (eliminating non-value work due to unnecessary journal entries).

2 SCOPE/PURPOSE

This management accounting procedure ("MAP") provides guidance on how to execute an MJE and to mitigate the risk of improper or incorrect MJEs by setting forth minimum requirements, specifically providing guidance on:

1. Acceptable forms of support for entries
2. Retention requirements for approvals and entry support
3. Immaterial MJEs that should not be recorded, subject to certain exceptions

3 DEFINITION OF A MANUAL JOURNAL ENTRY

A manual journal entry is an entry made directly to the general ledger that is not generated by a sub-ledger or other automated feed. Manual journal entries include, but are not limited to:

1. Entries made directly to a general ledger that do not pass through an operating sub-ledger
2. Entries made via application desktop integrator (Oracle "ADI") spreadsheet or Oracle/SAP direct journal entry screen
3. Entries made for cycles where the sub-ledger of record is of a manual nature (e.g., Excel spreadsheet)

The reversal of Auto-reversing entries are not included in this definition of a manual entry, as the documentation for the reversal was required for the initial entry. An entry not originally flagged for reversal and then subsequently reversed is subject to the MAP guidelines.

For additional clarification on the definition of a manual journal entry or scope of approvals, please contact your business operational controller.

Each business is responsible for establishing local workflow/approval processes and ensuring adherence with them.

4 DOCUMENTATION REQUIREMENTS FOR MANUAL JOURNAL ENTRIES

Supporting Documentation for Manual Journal Entries: The documented support for a manual journal entry must include, but is not limited to, three distinct items:

1. A Copy of the Actual Entry Prepared for the Ledger: An example of this would be, in the case of an ADI upload, the template used to upload the entry to the general ledger.

   At a minimum, all entries subject to the requirements of this policy must include:

   - The period in which the entry is to be posted
   - Reversing status and period of journal entry reversal, if applicable
   - Chart of account segments impacted by the entry
   - Amount and currency recorded to each account in its full, unrounded state (currency can include local, functional and reporting)
   - Book/ledger type or document type for GAAP/Stat identification
   - Name/Identifier (i.e., SSO) of the employee creating and the employee reviewing the entry
   - Independent Supporting Documentation

2. Independent Supporting Documentation: The entry must have a reasonable level of documentation that supports the need, amount, and basis of accounts used in the entry. Supporting documents are important for validating the purpose of the entry during the approval process as well as eliminating subsequent questions/follow-ups during the account reconciliation process or audits[1].

[1] Supporting documents are also an important part of compliance with the Foreign Corrupt Practices Act, the accounting provisions of which require the Company to maintain books and records that accurately and fairly reflect its transactions in reasonable detail and to design a system of internal accounting controls reasonably calculated to ensure its financial statements are accurately and fairly stated.

Supporting documentation must be independent of the general ledger, similar in nature to the documentation required to support an account reconciliation. While not intended to be a comprehensive list, examples of acceptable forms of supporting documentation by category are provided below:

- Entries to Cash: Bank statements, outstanding checklists
- Entries to Receivables: Report from the local AR system showing aging, balances or unapplied amounts, bad debt reserve calculations
- Entries to Other Assets: Any supporting documentation not originating from the general ledger, such as goodwill calculations, purchase accounting documents, and prepaid expense calculations with invoices
- Entries to Inventory: Report from the local inventory system, inventory reserve calculations
- Entries to Other Liabilities: Reserve calculations and policies
- Entries to Tax: Report from local tax system, tax calculations
- Other: Approved cross business schedule, accounting memos/analytics

Examples of unacceptable forms of supporting documentation are listed below:

- Support which includes only a GL extract unaccompanied by further explanation
- Reference to verbal instructions for entries
- Written instructions with limited or no back-up

Any questions regarding what acceptable support is should be forwarded to the business operational controller.

Where documentation is too voluminous to attach to the entry, a summary sheet may be attached, with direction to the appropriate back-up which should also be stored in a central location (e.g., GE Library, Box). If the information in the supporting documents is privileged/confidential, the MJE should include the location of the appropriate support and a reference to the owner. Access to the MJE storage location should be restricted.

3. <u>Documented approval:</u> Approvals must always be written and may be in the workflow approvals, E-Mail, or actual signatures on a copy of the entry itself, with electronic workflow approval and automated documentation being preferred. Verbal approvals are NOT acceptable. See Section 5 for additional information regarding minimum required approvals.

Supporting documentation for MJEs should be retained in accordance with GE MAP 020.20, Retention Period for Accounting Records. In general, accounting records must be retained for the longer of 7 years or the period required to support an unsettled tax return. Country or local level retention requirements should be applied if they are more restrictive than the guidance set forth in the GE MAP.

5 APPROVAL REQUIREMENTS FOR MANUAL JOURNAL ENTRIES

5.1 Proper Approval

To avoid misstatement of GE financials, significant MJE's (i.e., those meeting minimum thresholds under section 5.2) require Business Controllership signoff prior to closing the books for the quarter in which they impact the financials. Where possible, processes should be designed to obtain sign-offs prior to posting.

As the expected approvers may be several steps removed from the preparation of the entry, their primary responsibility is to provide reasonable assurance that the significant manual transactions are valid inputs to the financials. To perform this effectively they should:

- Possess business/US GAAP knowledge and proper authority to approve/reject
- Confirm business need to post
- Verify high level calculation, financial statement line impact and compliance with applicable GE GAP(s)
- Ensure supporting documentation is sufficient

Approvers that are highly familiar or involved in the preparation of the entry (e.g. recalculation, proper use of full accounting string) should increase their level of review appropriately.

5.2 Approval Thresholds

The MJE approval thresholds discussed below are calculated as follows:

- the absolute net impact to the income statement impact on a pre-tax basis (Enterprise Standard Chart of Account (ESCOA) accounts beginning with 4, 5, 6, 7 or 9); or

- the absolute net impact to income statement income tax accounts (ESCOA accounts beginning with 8).

The minimum approval requirements are summarized in the matrix below. Businesses may set additional approval requirements for an MJE based on the nature, timing and amount of the entry.

Net Impact ABS (USD)	Minimum Required Approvals
>$5MM Pre-Tax P&L	Tier 2 or higher Business P&L/Division Controller or Regional Controller (Tax Controller for income tax entries)
>$5MM Tax P&L	Tier 2 or higher Business Tax/Division Controller or Regional Controller
Late Entries (All dollar levels)	Tier 2 or higher Business Controller or Regional Controller

The Global Business Controller (GBC) is responsible for more specifically defining the minimum approval standards for his/her business, including what is considered late (at a minimum, late MJEs are entries post final USDRQ (top-side entries)), and ensuring the effective application of those requirements. The Global Business Controller or delegate may exempt certain processes based on risk and mitigating controls, but exceptions must be documented and approved annually.

Possible exclusions include but are not limited to:

- Cross business schedule (CBS) transactions that are subject to detailed reviews
- Non-calculated MJEs (e.g. system feeds entered manually, DR4 submissions where approval processes exist in the originating ledger.

5.3 Circumvention of Thresholds

Any attempt to circumvent the approval dollar thresholds outlined above, such as “splitting” or “netting” transactions, will be considered an integrity violation in conjunction with Spirit & Letter Policy 30.7, Controllership.

“Splitting” a transaction is an example of a potential method of circumvention where instead of making one entry that would have a US $10MM pre-tax income impact, the transaction is split into 4 entries for US $2.5MM in order to reduce the amount of the entry below a particular approval threshold. “Netting” is combining batches of entries to reduce the net impact to the income statement to be less than the thresholds will be treated in the same manner as splitting.

Please direct any questions in this regard to your business operational controller or Accounting Operations (R2R) leader.

5.4 Approval Threshold Evaluation

Approval thresholds, globally and by business, should be evaluated on a periodic basis with emphasis on updating the assessment in accordance with changes to the business environment. Factors including the ERP landscape, changes in related control design/effectiveness, acquisition/disposition activity, etc. should be considered in determining whether the environment has changed, and a detailed analysis may be warranted that considers both qualitative and quantitative criteria to determine whether the existing thresholds are still appropriate. Documentation and conclusions related to the assessment should be maintained with the Business.

6 IMMATERIAL MANUAL JOURNAL ENTRIES

6.1 Overview

MJEs require Finance and Controllership resources to prepare and review the entry, perform subsequent account reconciliations and, in the case of late journal entries, can cause rework in the financial reporting cycle. MJEs for immaterial amounts generally do not improve the quality of the Company's financial reporting and, therefore, do not need to be recorded.

6.2 MJE Materiality Threshold

The following MJEs should not be recorded unless the entry is needed for one of the reasons described in 6.2.1:

- MJEs where the sum of the entry's debits or credits is less than US$25,000; or
- MJEs with a net pre-tax P&L impact of less than US$25,000, including reclasses within the same segment (e.g., account, cost center).

These immaterial entries do not provide sufficient value in reporting accuracy to outweigh the risk of error and resources required to manage (i.e., creation, review and reconciliation) the entries.

6.2.1 Required MJEs with No Materiality Threshold

While MJEs with a P&L impact of less than US$25,000 are generally immaterial to the Company's financial statements, certain types of entries are required to be recorded regardless of amount. These entries generally have compliance implications or serve to simplify accounting structure. MJEs exempt from the materiality threshold include but are not limited to:

- Cash-related entries (e.g., accounts receivable collections, payments, cash pool)
- Entries related to external disclosures such as accountants' fees, which are reported on the DR56 and included in the Company's annual proxy statement, or entries related to other DRs and reports where details below US$25,000 are required (e.g., reports required to comply with government regulations)
- Entries required to comply with government contracts, such as those related to costs voluntarily withdrawn, direct charges or credits to a government contract, and charges impacting recoverable cost pools
- Correcting edit checks
- Entries to clear or prevent open or unreconciled items in account reconciliations, including the annual write-off of immaterial unsupported amounts less than $50,000 and accumulated rounding differences described in GE MAP 020.10, Account Reconciliation
- Entries for charges associated with the GE Corporate OneBiller process
- Trial balance uploads
- MJEs required for Statutory reporting where the value is material to individually prepared financial statements, and for Tax (including VAT) reporting and regulatory compliance, including those of joint venture companies
- Tax and payroll and benefits entries needed to comply with local legal requirements
- Entries related to foreign exchange (e.g., remeasurement or realized FX impacts)
- Entries related to Cross Business Schedules (CBS), or entries required to consolidate balances or retire dormant structures (MEs), or to reduce the number of accounts
- Entries to record the tax effects of recorded MJEs

Consult with your business or operational controller for additional guidance or review of additional exceptions to this materiality threshold.

6.3 Further Simplification Opportunities

As immaterial MJEs are identified and reviewed for compliance with this policy, the origin of entries less than US$25,000 should be examined. Often, immaterial MJEs can be prevented with corrections to account mapping, process or ERP automation, or master data and provide further simplification benefits.

7 APPENDIX

Appendix A. Frequently Asked Questions

MJE Reduction / Materiality Application

1. Why is there such an emphasis on stopping MJE's under $25k?

   The MJE MAP is attempting to change practices ingrained in our culture by stopping immaterial work. At time of initial issuance, 50% of all MJE's are recorded for adjustments with an Income Statement (P&L) impact less than $25k USD. An additional 10% are reclasses of P&L activity to fix cost center, project codes, geography, etc. Meaning, we could eliminate 60% of MJE's and have minimal impact on publicly reported financials. The $25k limit is intended to give de jure permission to disrupt the norm and stop work that does not improve our financial records.

2. Should I record entries less than US$25K at any point during the quarter?

   No, other than for the permitted exceptions, see 6.2.1 above, this policy is effective at all times.

3. Does this procedure apply to approved operating plan recasts where I have to record an MJE to align actuals to the operating Plan?

   Yes, this procedure applies and the MJE should not be recorded. Explanations can be provided in the variance commentary, corrections should be applied in source systems where applicable, and operating plans should be re-configured the following year.

4. Should I record a net $0 P&L reclass to move amounts larger than or equal to US$25K from cost center A to cost center B?

No, you should identify and correct the underlying cause of the error so that it is recorded systematically in the future. An exception to this is MJEs for P&L reclassifications between two or more Tier 1 businesses. A Tier 1 business is a business one level below GE's operating segments (which consist of Power, Renewable Energy, Aviation, Healthcare, and Capital as of the date of this policy) and Corporate.

5. If during one year, a GM organizes several events to which representatives of several legal entities attend. The cost for each representative to attend the meeting is below US$25k, but in total exceeds that amount. Should we issue an annual reclass to allocate the cost once the total exceeds the $25k threshold?

   No, this should not be posted unless required for statutory accounting or under another approved exception. Also see response to FAQ #4

6. If we have one employee that is working for two departments (one of them could be from a different legal entity), are we allowed to reclassify the salary once per year for the whole year?

   See response to FAQ #4 & #5.

7. I have an invoice for a PO not receipted in the accounts payable subledger worth $7K. Should I accrue for the PO?

   No, invoices need to be recorded in the subledger and systematically recorded to the ERP. Invoices greater than $25k should be accrued.

8. On a VAT account, we have a disconnect with the VAT return that amounts to less than US$25k. Is it permissible to record a manual correcting entry to the General Ledger?

   Yes. Since VAT accounts are required to be accurate to meet government filing requirements and account reconciliation, the journal is permitted as part of the approved exceptions.

Workflows & Tools

9. Does the MAP provide instruction or tool standards for how to obtain approvals?

   The MAP is not dictating how approval must be captured, only setting the minimum review each Business should adopt. Traditionally, many teams have leveraged Support Central as a flexible workflow tool: however, there are also more recent pushes to integrate MJE approval with the ERP as seen in Unify, Powermax, Altais, Races, Centerpiece, Kittyhawk, Golf, Whittle, CCL, CCL Fusion and Global. Individuals should consult with their local or business leaders for more specific guidance on expected operating practices.

Account Reconciliations

10. The balance in a reserve account is currently US $150,000. The supporting schedule for this reserve suggests the balance at the end of the quarter should be increased by US $20,000 to US $170,000. Should I record the US $20,000 MJE to adjust the reserve at the end of the quarter? If I don't record this MJE, won't I fail my account reconciliation?

    No. Assuming the entry to adjust the reserve does not meet one of the exceptions listed in section 6.2.1 of the MJE policy, you should not record the MJE since US$20,000 is immaterial. Furthermore, the $20,000 unrecorded adjustment can be documented in the account reconciliation itself as seen below.

Reserve account – Supporting calculation	
Exposure at 9/30/XX	$3,400,000
Reserve percentage	5%
Reserve at 9/30/XX	170,000
Current balance	150,000
Adjustment to reserve	$ 20,000

Reserve account – Account reconciliation	
Balance at 9/30/XX	$150,000 ✓
Recorded item: Balance per reserve supporting calculation (attached)	$170,000
Recorded item: Immaterial adjustment, not recorded per GE MAP 020.40	(20,000)
	$150,000 ✓
Account is considered reconciled.	